Here we turn to the aforementioned Matthew Berry and his unpublished paper “Mean Reversion in Corporate Returns.” His study covers the 15 years from 1990 to 2004. It includes the 4,000 largest companies primarily located in the United States, the UK, Canada, Germany, France, Italy and Spain.

“Mean reversion is a well-documented phenomenon,” he writes. “Mean reversion is driven by the trending of returns, on average but not exclusively, towards the mean. Some companies persist as high performers, others as low performers, while a few even change places.”

Ah, here we have something interesting. Mean reversion does not affect all companies equally. What might those that persist as high performers have in common?

By “high performers,” Berry means those companies that continue to earn a high return on invested capital (ROIC). He’s looking at a company’s pretax profit over its average capital. He also breaks this down to look at the various drivers of ROIC, such as growth, margins and more.

While many of the variables are quite volatile and do mean revert, Berry found that gross profit margins “are surprisingly resilient and do not contribute meaningfully to fade rates.”

Berry runs through a variety of tests. But I will just present the main finding here. Berry writes that “high gross margins are the most important single factor of long run performance. The resilience of gross margins pegs companies to a level of performance. Scale and track record also stand out as useful indicators.”

That part about pegging means that if a company started with a high gross profit margin, it tended to keep it. Conversely, when it started off with a low gross profit margin, it tended to stay there as well. Gross margins persist, to use the statistical lingo.

Berry thinks gross margin is a good indication of the price people are willing to pay relative to the input costs required to provide the good. It’s ameasure of value added for the customer. Not every company shows a huge gross margin. “Amazon’s are pretty mediocre,” Berry pointed out in an email to me, “but it is clear that the value added is in the selection and the convenience, not in the good itself (which could be found anywhere). But if you can’t see how or where a company adds value for customers in its business model, then you can